

EXECUTIVE WORKSHOP · ONE DAY

# The EU Climate Machine

How carbon pricing, electricity markets and the 2040 framework actually work — taught through interactive economic models, not slideware.

Format: full-day workshop (half-day variant available)

Audience: public affairs, strategy, energy & finance professionals

Group size: 8–20 participants · Delivered in English

Public sessions and in-house delivery · Brussels or on-site



## Why this workshop exists

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EU climate policy has entered its most consequential phase since the Green Deal was launched. The July 2026 ETS review package, the 2040 target negotiation, and the omnibus reopening of adopted legislation will redistribute hundreds of billions of euros across sectors — and most professionals who need to anticipate these shifts are working from headlines, not mechanisms.

The gap shows in predictable ways: teams that treat the carbon price as a market mood rather than the output of a cap, a banking decision and an abatement cost curve; strategies that assume electricity prices fall when renewables grow, without understanding who sets the marginal price; position papers that argue about the 2040 number while missing that the demand-side package, not the target, determines the carbon price everyone will actually pay.

This workshop closes that gap in one day. Participants leave able to reason quantitatively about the questions their organisations face — not because they memorised numbers, but because they have run the models themselves.

## What makes it different

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- **Models, not slides.** Each module is built around a live, interactive economic model that participants drive from their own laptops — moving the ETS cap and watching the price path respond, stacking the merit order that sets their country's power price, trading off heat pumps against EVs on an iso-target frontier.
- **The actual policy machinery.** The content tracks the real instruments — the ETS Directive's linear reduction factor, the Market Stability Reserve, the LULUCF regulation, the July 2026 review package — with every number sourced to public EU documents: impact assessments, EUR-Lex, Eurostat, EEA data.
- **Stress-tested, both ways.** The final module deliberately breaks the models: what ten currently debated political softening demands would cost in tonnes and years, and what escalating wildfires do to the land sink the targets quietly depend on. Participants learn where the framework is robust and where it is fragile.
- **Honest about its epistemics.** Every model is labelled for what it is: a stylised teaching instrument that reproduces the logic and the order of magnitude of the real analyses, built for insight rather than citation. Participants are told exactly what each model can and cannot support.

## Who should attend

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The workshop is designed for professionals whose work depends on anticipating EU climate and energy policy, but who are not themselves modellers:

- **Public affairs and government relations** teams tracking the ETS review, the 2040 framework and the omnibus agenda
- **Corporate strategy and sustainability** functions in energy, industry, transport and buildings value chains
- **Finance professionals** — analysts, investors and risk teams pricing transition exposure in EU assets
- **Officials and parliamentary staff** who want the economics behind the files they negotiate
- **Journalists and researchers** covering EU climate policy who want to interrogate claims quantitatively

No prior modelling experience is required. Comfort with percentages, prices and reading a chart is enough; every formula used in the day fits on one line and is explained from scratch.

## The four modules

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## Module 1 · The carbon pricing endgame

Why the EU ETS price is not a market mood but the solution to an intertemporal problem: a shrinking cap, banking behaviour, and a rising marginal abatement cost curve. Participants run a Hotelling-style allowance price model, then add the policy levers of the July 2026 review — a slower cap decline, a smaller Market Stability Reserve, permanent carbon removals as a safety valve, and international credits — and watch what each does to the price path and the cumulative emissions budget.

## Module 2 · Why European electricity costs what it costs

The merit order, taught by building it. Participants assemble a uniform-price auction from real technology cost parameters — fuel price over efficiency, plus emissions intensity times the carbon price — and discover who sets the marginal price hour by hour. The module then decomposes the wholesale price gap between the EU, the US and China into its fuel and carbon components, and walks the retail stack that determines what households and industry finally pay.

## Module 3 · Electrification and the 2040 framework

The quantitative heart of the day. A least-cost model of the EU energy system shows what carbon price would be needed to reach the 2040 electrification target on price alone, versus with the demand-side package — heat pumps, EVs, industrial electrification — doing part of the work. The gap between those two prices is the shadow value of demand-side policy: the single most useful number in the 2040 debate, and one almost nobody in the debate knows.

## Module 4 · Stress tests — politics and nature

Two deliberate attacks on the framework. First, politics: a transparent accounting model prices ten currently debated ETS softening demands in tonnes of CO<sub>2</sub> and in years of EU climate progress. Second, nature: a cohort model converts observed wildfire burnt area into land-sink shortfall — revealing how much extra mitigation burden every fire season silently adds to the 2040 and 2050 targets.

## What participants take away

- A working mental model of the four mechanisms that drive EU climate economics: cap-and-banking, merit order, least-cost electrification, and the land sink
- The participant workbook: all exercises, reference tables, formula sheet and an annotated source list for continued use
- The full slide deck as a PDF reference
- A personal 2026–2030 watchlist, built in the closing session: the specific decisions, dates and indicators that matter for their organisation

## Agenda

| Time        | Session                                                                                                                                            |
|-------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| 09:00–09:30 | <b>Welcome and framing.</b> The 2026 moment: the ETS review package, the 2040 negotiation, the omnibus agenda — and why mechanisms beat headlines. |
| 09:30–11:00 | <b>Module 1 — The carbon pricing endgame.</b> Interactive allowance-price model; exercise in teams: price the July 2026 reform package.            |
| 11:00–11:15 | Break                                                                                                                                              |
| 11:15–12:45 | <b>Module 2 — Why European electricity costs what it costs.</b> Build-the-merit-order exercise; EU–US–China decomposition; retail stack.           |

| Time        | Session                                                                                                                                           |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
| 12:45–13:30 | Lunch                                                                                                                                             |
| 13:30–15:00 | <b>Module 3 — Electrification and the 2040 framework.</b> Least-cost model; the shadow value of demand-side policy; iso-target frontier exercise. |
| 15:00–15:15 | Break                                                                                                                                             |
| 15:15–16:15 | <b>Module 4 — Stress tests.</b> Pricing political softening in tonnes and years; wildfires and the land sink.                                     |
| 16:15–17:00 | <b>Synthesis and watchlist.</b> The five numbers to watch to 2030; each participant builds a personal monitoring list; open questions.            |

## Formats and pricing

| Format                    | Description                                                                                      | Price (excl. VAT) |
|---------------------------|--------------------------------------------------------------------------------------------------|-------------------|
| Public session (full day) | Open-enrolment day in Brussels, 8–20 participants, lunch included.                               | €690 per seat     |
| In-house (full day)       | Delivered at your offices, tailored opening framing for your sector; up to 20 participants.      | €7,500 flat       |
| In-house (half day)       | Modules 1 and 3 plus synthesis — the carbon price and the 2040 framework; up to 20 participants. | €4,500 flat       |
| Briefing add-on           | 90-minute executive replay for leadership teams within 4 weeks of an in-house session.           | €1,500            |

Public-sector, academic and newsroom rates available on request. Sessions can be delivered in a laptops-optional format where the facilitator drives the models on screen.

## Method and sources

All models used in the workshop are stylised teaching instruments, built to reproduce the logic and order of magnitude of published analyses rather than to replace them. Every empirical claim is sourced to public materials: European Commission impact assessments, EUR-Lex legal texts, Eurostat and EEA statistics, and the peer-reviewed literature on allowance markets and power systems. The workshop is independently produced and is not affiliated with, or endorsed by, any EU institution or advisory body.

### Booking and contact

To book a public seat or request an in-house date, contact the facilitator. Provisional holds are kept for 10 working days. Materials are updated after every major EU policy event; participants receive the edition current at their session date.